

- Do you have the time, energy, interest, knowledge, and desire to implement all of these decisions on your own? Do you enjoy financial planning?
- Will you overcome the inertia of inaction to put together all the various parts needed to create and implement an effective and coherent overall plan?
- Will you continue to periodically update your plan?
- Have you determined how to make sure your planning will be maintained properly if other family members need to take control of it?
- Are you working with a comprehensive financial planner who does more than just manage investment portfolios and is capable of implementing good financial planning decisions?

Cognitive Decline

Declining abilities to do financial calculations and other types of cognitive impairment make it increasingly difficult to manage a complex investment and withdrawal strategy as you age. It is important to plan ahead and make binding decisions before cognitive impairment sets in. Examples of these binding decisions could include working with a trusted financial planning firm that can be on the lookout for cognitive impairment and help arrange for necessary additional help, or using an income annuity (which David Laibson has called “dementia insurance”) to lock in an income stream and reduce the need for portfolio management skills. Since confidence in your financial skills does not decline with age, it is important to plan for these possibilities ahead of time.

If you have the time, interest, energy, knowledge, emotional detachment, and desire to do your financial planning on your own, then you may make an excellent advisor. If your advisor is less than capable, you might be better off saving yourself the fee or taking your business elsewhere.